

Example

Similarly, revenue models can also be a source of advantage for companies. Suppose an over-the-top (OTT) platform has zero charges for viewing a large range of popular movies and TV shows, but has a periodical subscription fee. This will lead the viewers to perceive the service as cheap and make them sign up. The OTT will incur licensing costs, but if it successfully onboard enough viewers, its average cost will be quite low.

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For example, Disney+ Hotstar allows you to access numerous TV shows, movies and live sporting events at a yearly fee that is equal to a few movie tickets.

Jio Cinema, another OTT platform, does not require any subscription fees for a lot of its content. Jio users can get a free sign-up to Jio Cinema. As a result, the number of viewers on Jio Cinema is quite large, making advertising quite lucrative. Customers can also choose to pay a subscription fee to watch ad-free.

Summary

In this chapter, we took note of the reasons why a company might have a competitive advantage. If we look at a company's product, the advantage can arise out of how the product is sold, how the product is differentiated from others in the market, or from whom the product is sold.

People from inside or outside a company can influence its fate. Strong parent companies, alliances with companies producing complementary goods, and key individuals with good reputations can be a source of competitive advantage.

We can also find competitive advantages in various business activities of a company.

Sometimes, companies could have competitive advantages arising out of lower costs, or innovative revenue models.